EthStrategy.

ESPN Yield Vault Investor Brief · March 2026

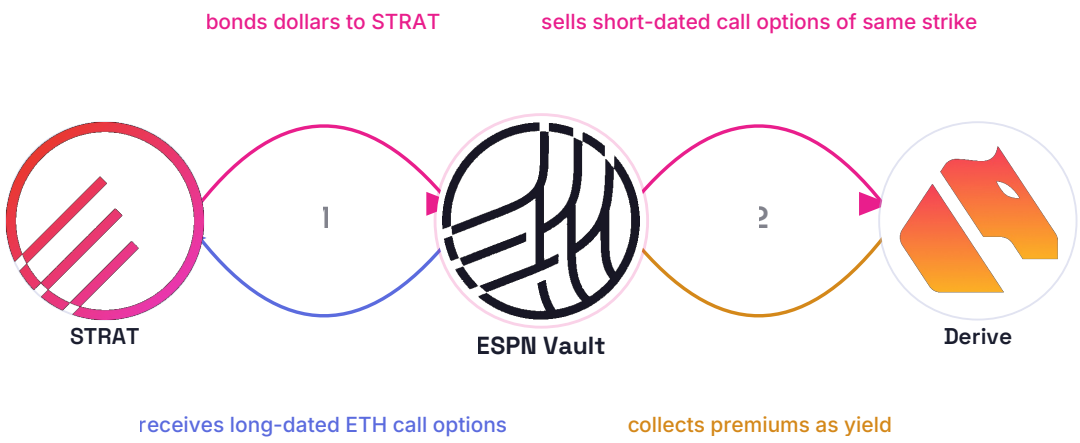
INSTRUMENT

ESPN Perpetual Note Vault

ESPN is a yield primitive that transforms Ethereum's natural volatility into an on-chain yield stream. EthStrategy's Perpetual Note earns yield by **selling covered options on Derive**, underpinned by **long-dated call options** on treasury ETH provided by STRAT holders in exchange for leverage exposure.

Capital is split across two strategies: a portion into Lindy, deterministically liquid strategies to cover redemptions, and the remainder into the STRAT convertible note. The vault is designed to wind down to zero with **no bad debt**.

CAPITAL FLOW HOW ESPN GENERATES YIELD



- Calendar spread premium returned to holders via weekly NAV accrual **~18% APY**

THE HEDGE

Completely Delta Neutral

The long-dated call received from EthStrategy and the short-dated call sold on Derive share the **same strike price**. A long call minus a short call of the same strike cancels all directional ETH exposure the vault is **delta zero** regardless of where ETH trades, and simply farms the time-value premium between the two legs.

The long-dated call from EthStrategy and the short-dated call on Derive share the **same strike**. Long call minus short call of identical strike = **zero delta**. Whatever ETH does, the position is flat the only P&L is the **time-value premium collected from the short-dated leg**, returned to ESPN holders as yield.

RISK MATRIX

RISK	DESCRIPTION	SEVERITY
Insolvency Risk	If the protocol is insolvent, EthStrategy may not be able to underwrite ESPN's debt.	MEDIUM
Price Risk	If ETH declines over long periods, ESPN's option strategy may become unprofitable.	MEDIUM
Volatility Risk	If ETH's volatility declines, options may be less valuable and reduce ESPN yield.	LOW–MED

TEAM

SMART CONTRACTS & STRATEGY

OG energy markets quant structured vol

GROWTH & PROTOCOL DESIGN

Corp. banking & IT background. Prev.

QUANTITATIVE FINANCE & MECHANISM DESIGN

PhD Economics game theory & mechanism

trades to acquire cheap IV. Early operator at **Canva, Neara, Veyor, YoloEx** (collective billions). Founding team at **TempleDAO & Origami** built a delta-neutral liquid DAO that survived the bear with real yield.

founded a **native credit markets protocol**. Co-founded a **long-tail lending protocol**. Co-designed a **permissionless stablecoin** with any-collateral support.

design. Prev. COO at Proptech raising **$50M**. Designed a DAI-analogue stablecoin with single-sided liquidity provision.

For qualified investors only. Does not constitute an offer to invest. DeFi protocols carry inherent smart contract and market risks. Past yield is not indicative of future returns.